

the credit bubble in the 2008–2009 period, when risks fueled by excessive credit cost stockholders billions. In the face of rationales like “I knew that stock was going to go up! I told you so,” a cautionary tale can highlight the pitfalls of overestimating one’s own predictive powers.

“Rewriting history”—predicting losses. Advisors need to recognize that many people prefer to block recollections of poor investment decisions. Understanding why investments go awry, however, is critical to obtaining insight into markets and, ultimately, to finding investment success. Counsel clients to carefully examine their investment decisions, both good and bad. Encourage self-examination. This will help eliminate repeats of past investment mistakes.

Unduly criticizing money managers for poor performance. Clients need to understand that markets move in cycles and that, at certain times, an investment manager will underperform in his or her class, relative to other asset classes. Investors should understand that a good manager adheres to a consistent, valid style, through good times and bad. A manager is hired to do a job, and that job is to implement a defined investment strategy. Education is critical here. Just because many growth managers underperformed in the early 2000s, when values of many stocks were in a downward cycle, does not mean that growth managers are categorically unskilled. A similar case can be made today for managers of “quality” stocks (safe, large-capitalization companies).

Unduly praising a money manager for good performance. Using the same line of reasoning, counsel clients against becoming too giddy over the prospects offered by managers who happen to be in the right asset class at the right time. There are plenty of investment managers who benefit circumstantially from market cycles and still do not meet benchmarks. These are the managers to avoid. Again, education is critical; once clients understand the role that a manager plays in determining fund performance, hindsight bias can be curtailed.

NOTES

1. Baruch Fischhoff, “Hindsight/Foresight: The Effect of Outcome Knowledge on Judgment under Uncertainty,” *Journal of Experimental Psychology: Human Perception and Performance* 1 (3): 288–299.